

Crude positioning, structure, and what actually trades

WTI and Brent | CFTC Managed Money + term structure

Positioning is a **momentum / context** gauge, not a contrarian timing signal. The durable, tradeable edge is in the **term structure** and structural COT columns.

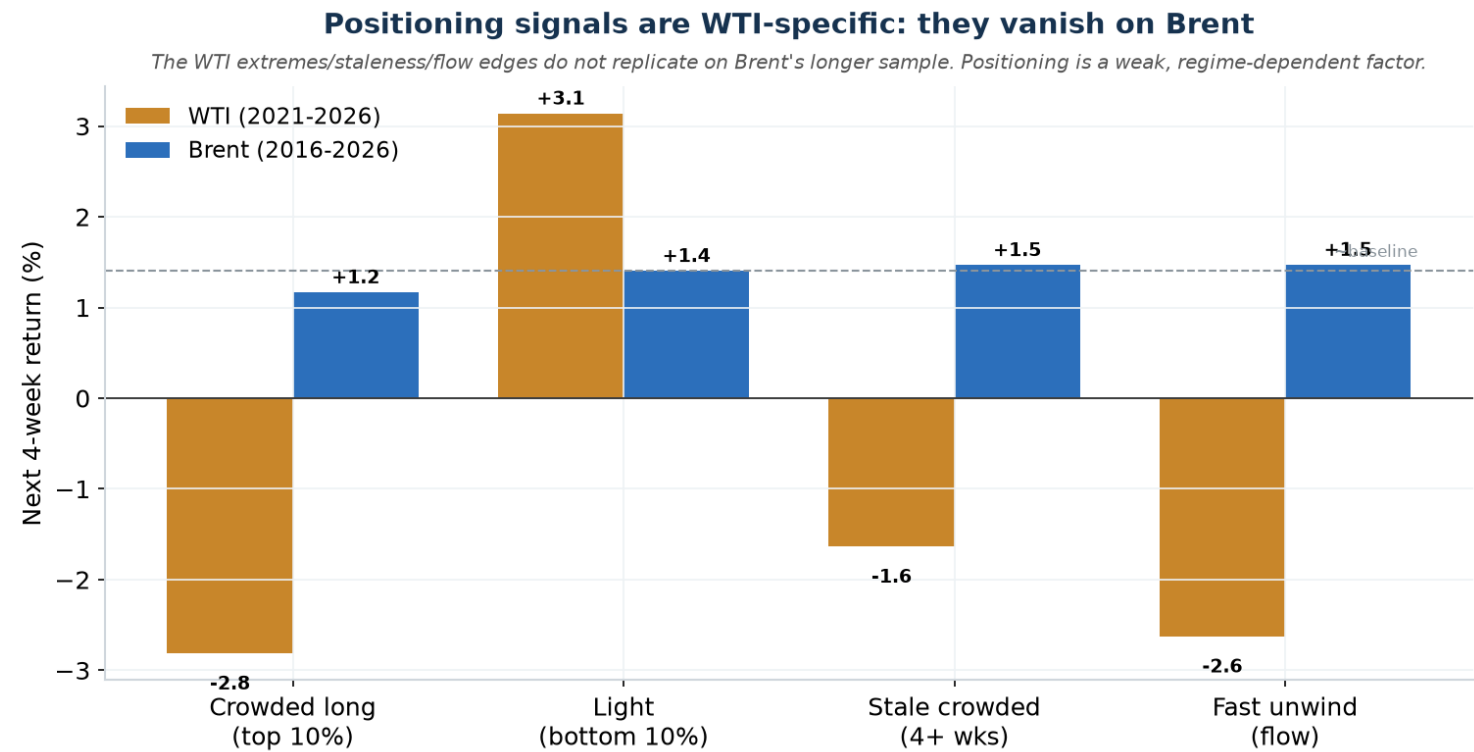
- Managed Money is coincident and trend-following (it adds as price rises). Its net extremes give no robust forward edge, and the apparent edges do not survive on Brent.
- **The one robust, cross-validated price signal is the curve: deep backwardation is a forward-return headwind (contango is too rare to trade).**
- Structural columns add real risk information: the short side is now the most crowded in the sample (squeeze-prone), and rising price on rising open interest is the best trend-continuation tell.
- Use all of this as an overlay and risk filter on your main factors, never as a standalone trigger.

WTI 2021-2026, Brent 2016-2026. De-rolled returns; no look-ahead; validated by bootstrap and cross-instrument replication.

How we tested it, and how we made it credible

- **Instruments.** WTI (2021-2026) and Brent (2016-2026), local price curves, de-rolled so contract rolls do not create fake jumps.
- **Positioning.** CFTC Managed Money net, plus the structural columns: gross positions, trader counts, open interest, weekly flows. Brent positioning uses the CFTC NYMEX Brent Last Day proxy (ICE's own COT is gated).
- **Factors and returns.** all known at the Friday close; forward returns at 1, 2 and 4 weeks versus the base rate.
- **Validation.** block-bootstrap p-values, and replication across two independent crude markets. Single-market results are treated as fragile.
- **Cross-check.** an independent study on 2019-2021 CME data reached similar structural conclusions; where our newer, longer sample disagrees (e.g. the Other-Reportables contrarian tilt), we flag it as regime-specific rather than durable.

Positioning is coincident, and its edges do not generalize



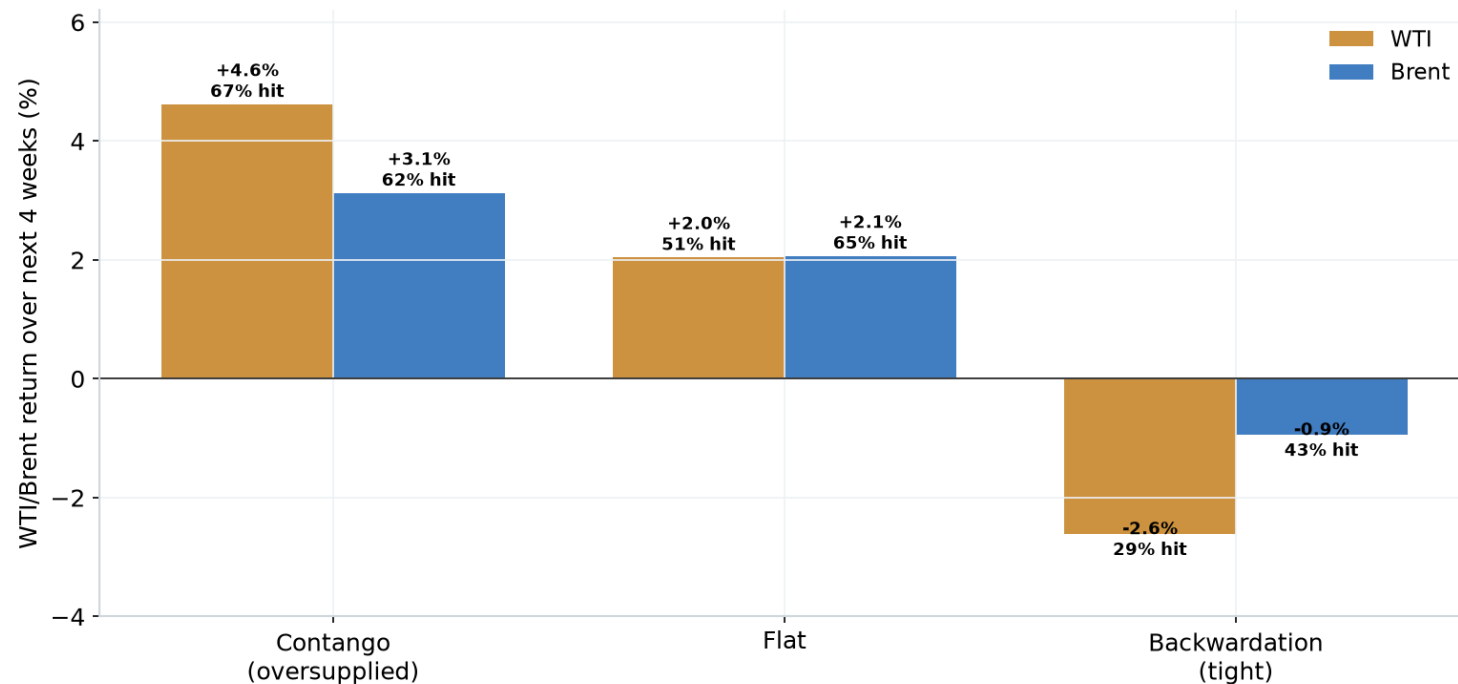
Momentum, not contrarian.

- Managed Money adds length as price rises (change in net vs same-week return +0.19, $p=0.002$). It confirms moves, it does not predict them.
- Its extremes, staleness and flow looked tradeable on WTI 2021-2026 but collapse to the base rate on Brent.
- The Other-Reportables "contrarian" tilt seen in 2019-2021 does not hold out of sample (it turns positive on WTI 2021-2026). Category signals are regime-specific.**

The one durable price signal: deep backwardation is a headwind

The forward curve predicts crude better than positioning does

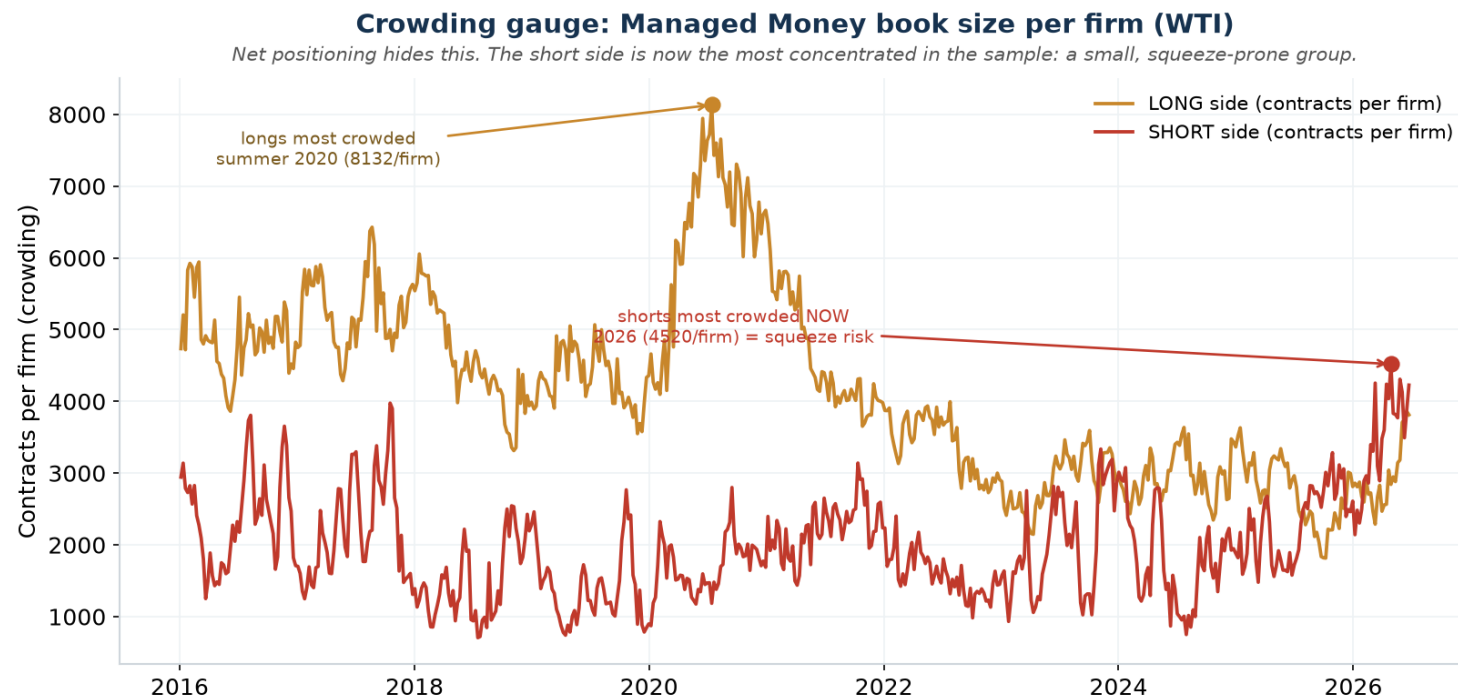
Contango tends to precede a rally; backwardation precedes weakness. Holds on both crudes.



Fade deep backwardation, do not chase it.

- The most backwardated third of weeks precedes weak returns: WTI -2.6%, Brent -0.9% over 4 weeks (bootstrap $p < 0.01$), on both crudes.
- Contango precedes strong gains, but it is rare and episodic (18% of WTI weeks, mostly the 2020 and 2016 crises), so it is not a standing rule.
- Usable version: treat deep backwardation as a reason to reduce or fade, not a green light.

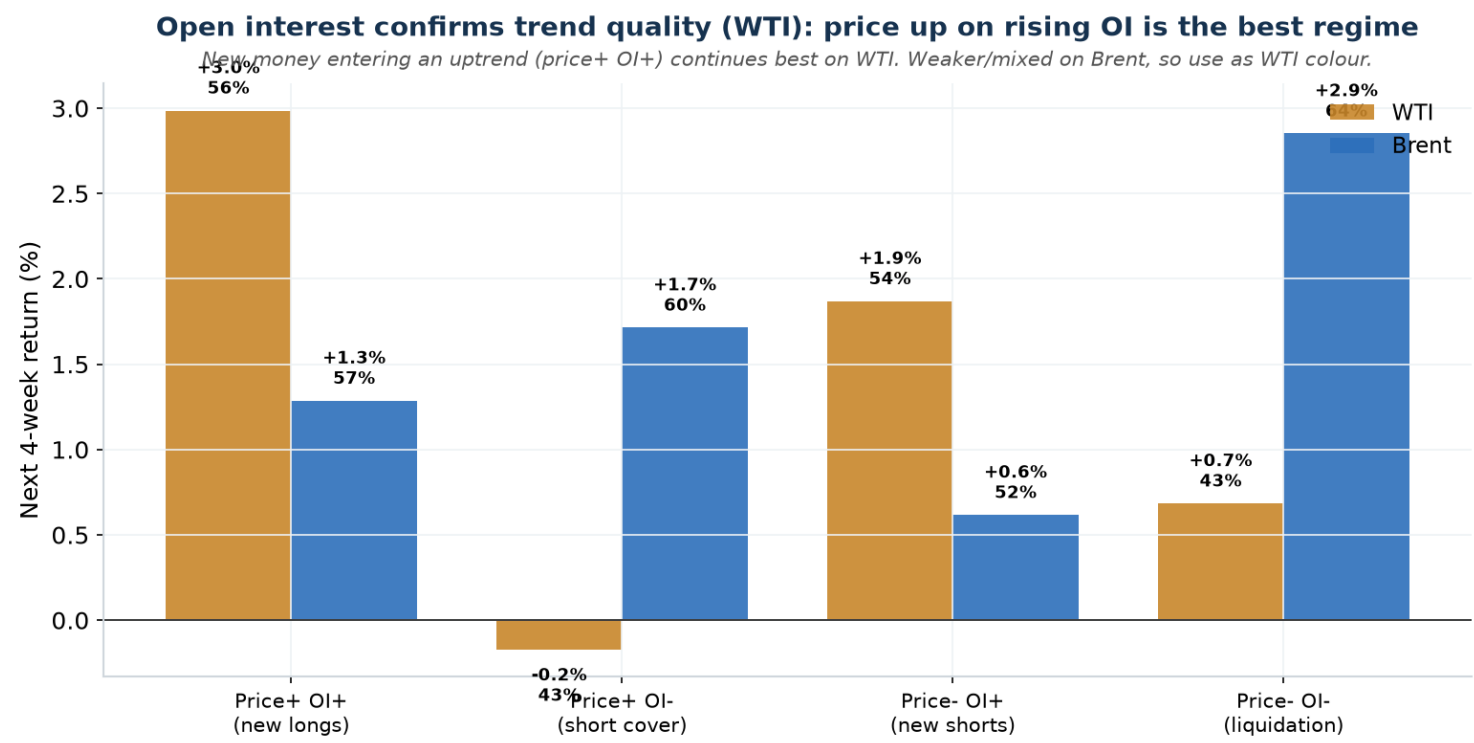
Crowding: a risk gauge that net positioning hides



Book size per firm = fragility.

- Dividing gross positions by the number of firms shows how concentrated each side is.
- **Longs were most crowded in summer 2020 (a recovery bet in very few hands). The short side is the most crowded in the whole sample now (2026): a small, squeeze-prone group.**
- Use: when one side is this concentrated, respect short-covering / squeeze risk in sizing and stops.

Open interest confirms trend quality



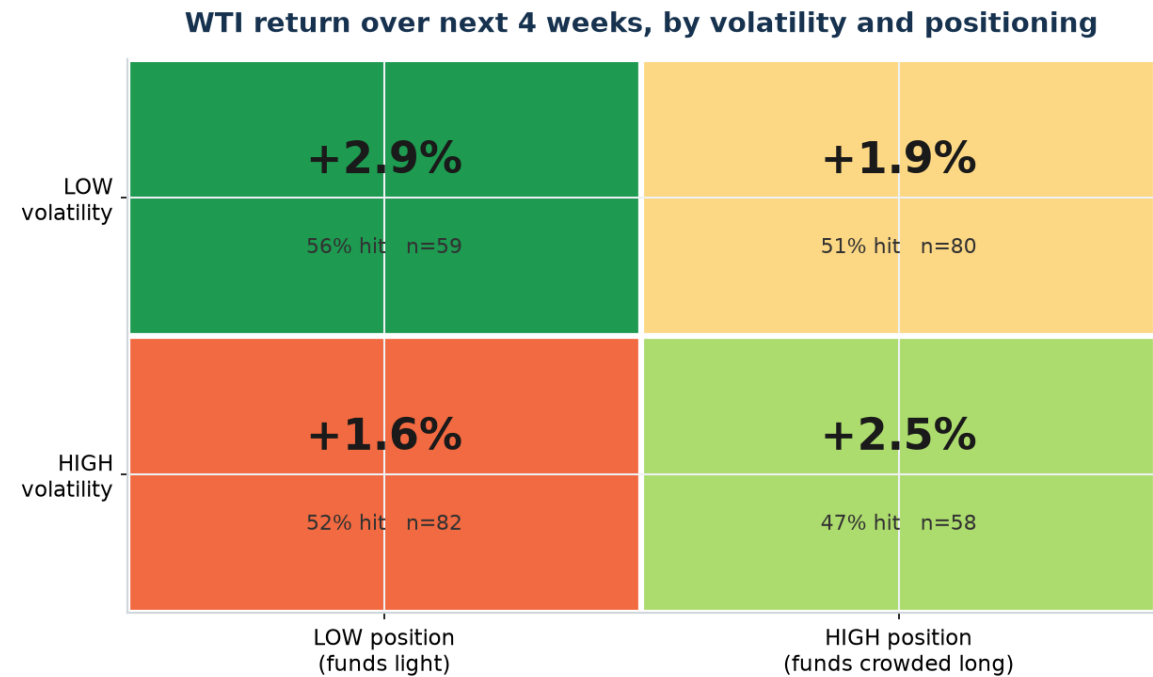
Is new money behind the move?

- Crossing the weekly change in open interest with the price change sorts trends by quality.
- On WTI, price up on **RISING** open interest (new money in the trend) is the best 4-week continuation (+3.0%). Price up on **FALLING** open interest (short covering) is the weakest: a lower-quality bounce to fade.
- Weaker and mixed on Brent, so use it as WTI colour rather than a universal rule.

The roll is invisible to COT; watch the curve instead

- A front-month roll closes CL1 and reopens CL2. It is net-neutral, and it is not a CFTC "spread" (which needs simultaneous long and short legs), so weekly positioning literally cannot see it. Positioning in the pre-expiry week looks like any other week (our test: Managed Money net and %-spreading are statistically unchanged into the roll).
- The roll's risk lives in the CL1 minus CL2 spread, not in the COT. It is orderly in normal cycles but carries severe tail risk at stressed expiries (the April-2020 negative-price roll printed roughly -58 \$/bbl the day before expiry).
- **Practical use:** do not look for a roll signal in positioning. Read the spread, and roll a few sessions early to cut delivery and squeeze exposure. Our WTI data shows a mild pre-expiry softening that is worse when funds are crowded long, but it is small and not significant.

WTI conditioning rules, written as equations



Green = better than the average week (+2.2%). Median splits, 2021-2026.

Next 4 weeks on WTI 2021-2026. Base rate +2.2% (52% hit).

MARKET x POSITION

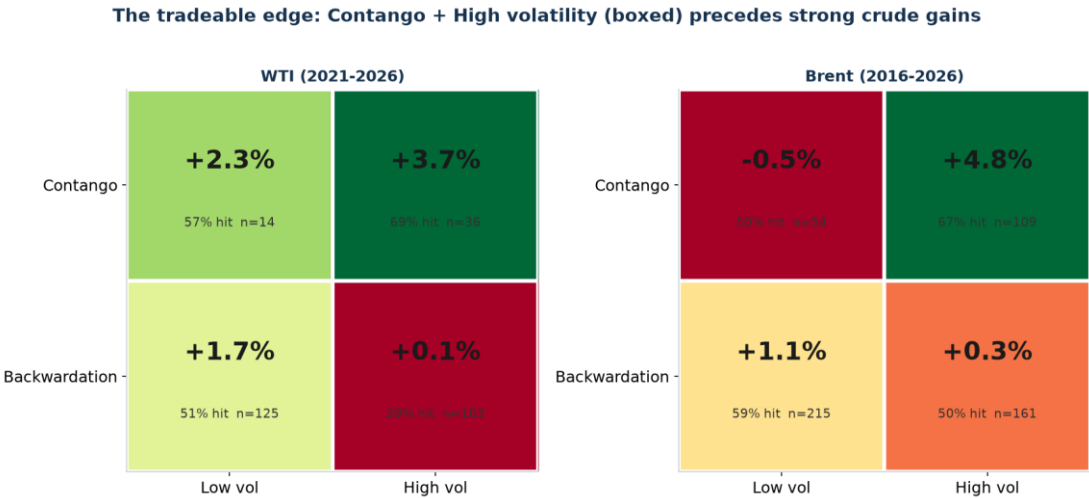
- Calm market + Light position = **CL +2.9%** (56% hit)
- Calm market + Crowded long = **CL +1.9%** (51% hit)
- Choppy market + Light position = **CL +1.6%** (52% hit)
- Choppy market + Crowded long = **CL +2.5%** but 47% hit (coin-flip)

STALENESS (how long the bet has lasted)

- Fresh crowded long = **CL +9.0%** (80% hit, ride it)
- Crowded long, gone STALE = **CL ~0%** (33% hit, step aside)
- Light book, gone STALE = **CL +3.8%** (63% hit, accumulate)

Read as WTI desk colour, not universal law: these conditioning and staleness effects are strong on WTI 2021-2026 but do not replicate on Brent. Use them to size and time WTI risk on top of your main factors, never as standalone triggers.

Curve (CL1-CL2) and expiry, written as equations



CALENDAR SPREAD (CL1 minus CL2), next 4 weeks

- Near / in contango (least backwardated third) = **+4.6% (67% hit) | Brent +3.1%**
- Deep backwardation (tightest third) = **-2.6% (29% hit) | Brent -0.9%**
- Contango + High volatility = **+3.7% | Brent +4.8% (best long, both crudes)**
- Deep backwardation + High volatility = **+0.1% | Brent +0.3% (~flat, stand aside)**

EXPIRY WINDOW (last 7 days, WTI/NYMEX rule)

- Crowded long into expiry = **CL -1.4%, then +0.9% after (roll / de-risk)**
- Light book into expiry = **CL +0.7%**
- All expiries pooled = **CL -0.3% (mild, NOT significant; base +0.3%)**

Squeeze logic: the crowded side is the one forced to unwind into expiry. Measured here it is crowded LONGS de-risking (mild selling, rebounds after); the mirror image is a crowded SHORT book (where WTI sits now) that risks a squeeze HIGHER. The effect is small and not significant ($t=-0.69$), Brent uses the WTI expiry rule so it is only a proxy, and true contango is just ~18% of WTI weeks (the label is a tercile).

Playbook: overlays for your main factors

USE AS OVERLAYS

- Deep backwardation = headwind, fade or reduce longs
- Contango (rare) = tailwind, opportunistic only
- One side extremely crowded (shorts now) = squeeze risk, tighten risk, expect sharp counter-moves
- Price up + OI up (WTI) = quality uptrend, stay / add
- Price up + OI down = covering bounce, fade
- Crowded into the expiry week = roll early, expect de-risk softness then rebound

DO NOT

- Trade Managed Money net extremes as a contrarian signal (it is momentum).
- Use COT for roll timing (it cannot see the roll).
- Rely on a single market or single window (demand cross-instrument replication).
- **How to use:** a context and risk layer on top of your primary fundamentals / flow model. It sizes and filters; it does not trigger.

Caveats: Brent positioning is a NYMEX proxy (ICE COT gated); results are gross of costs; much of the apparent positioning edge in prior studies is the 2020 dislocation; the curve edge partly reflects 2021-2026 regimes.